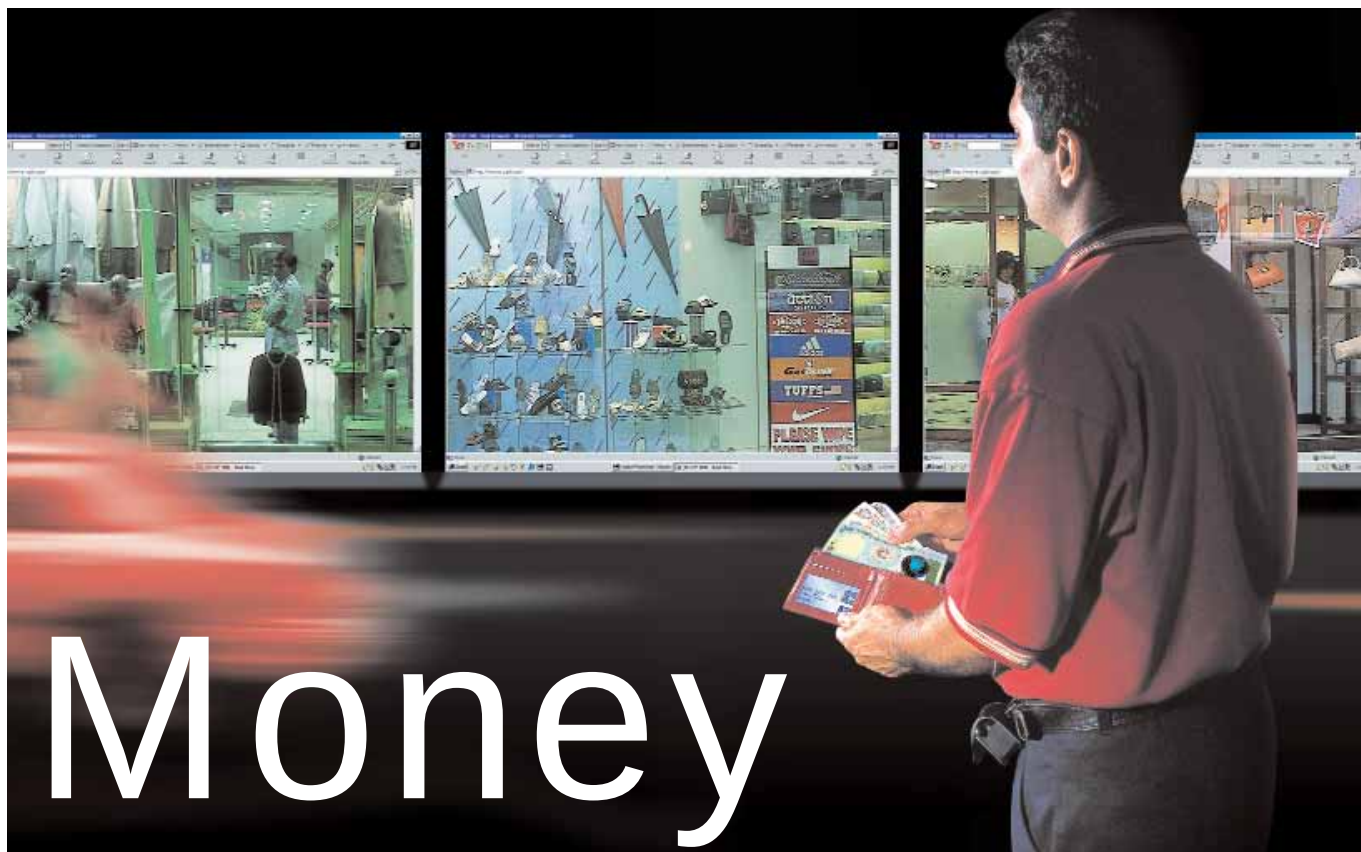




makes the world go round. But can the same be said for e-cash? Read on and find out

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When shopping in Singapore, you pay in Singapore dollars and in Hong Kong you of course pay in Hong Kong dollars. Right? Well get ready for a time when you pay only in e-money. In the age of the big 'e', it's but inevitable.

E-cash is a relatively recent entrant in the complex world of e-commerce. Very convenient and secure, it can be an alternative to traditional methods of online payments such as credit cards and even for offline transactions. Originally developed for e-commerce applications, e-cash has been around for about six years now. But is e-cash really everything that it's made out to be? Let's take a look at what e-cash is and what it can do for online commerce. Will it be good enough when dealing with online money transactions? Is it going to be the substitute of value for cash that we use to get things done in the virtual world? Is it ever going to replace paper money?

So what is e-cash?

E-cash or digital cash or E\$, as it is known, was developed as a replacement for the traditional concept of money. It was also meant to have additional advantages that conventional money does not have. So how do you define e-cash? Well, there are so many definitions of e-cash that it's difficult to pick any one.

Basically speaking, e-cash is nothing but blocks of data that represent money. It is a payment message bearing a digital signature, which functions as a medium of exchange or value. This data can be transferred from one point to another via networks and can be traded as tokens to be exchanged for real money.

Exchange for real money was the original concept with which e-cash was developed, but now there are many e-cash providers who are trying to completely replace conventional paper money with e-cash. These entities intend to promote e-cash as a medium for obtaining products and services, just like real cash.

The digital nature of e-cash presents great possibilities for the future of commerce. E-cash is usually stored on computers or mobile devices. Some of the common forms are software 'wallet' programs that are installed in your PC. These wallet programs communicate with the bank or the e-cash issuer when a transaction has to be made. All the transactions are secured using complex encryption techniques. The transaction is completed after user verification. The value of e-cash required is taken from the buyer's account and deposited into the account of the seller.

E-cash does not necessarily require installation of programs, and can also be collected by browsing certain sites or by purchasing it with cash.

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